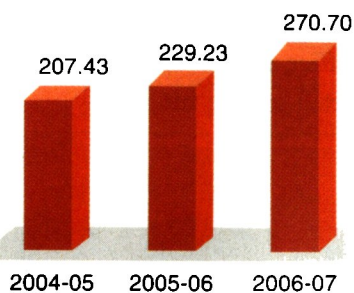


Production (Iron Ore)
Lakh Tonnes



- Its pioneering exploration works have resulted in the establishment of other Public Sector Enterprises like Hindustan Copper Limited, Pyrites Phosphate & Chemicals Ltd (PPCL), and Kudremukh Iron Ore Co Ltd (KIOCL). Two of its iron ore mines, ie, Kiriburu and Meghahatuburu, were transferred to SAIL as captive mines.
- Its mines and production processes are ISO-9000 certified to see that the customers get the right quality of product and to ensure that the scarce and non-renewable raw material is effectively conserved.
- Environment Management has all along been as important as your Company's production plan. Getting ISO14001:2004 certification from Det Norske Veritas, an international certifying agency, for the major production projects of your Company is well in this direction. The commitment NMDC has made for itself is that, after mining, the area will be left a better forest than it was. The afforested areas in the mines stand testimony to this commitment.
- From the year 1991-92, when NMDC began signing the MoU with the Government of India, it has been rated as 'Excellent' all through, except for two years,

1998-99 and 2003-04, when it could obtain 'Very Good'.

- The performance of NMDC has been watched by the analysts of industry. The Financial Express, in its May 2007 issue (FE-500), ranked NMDC as the FIRST in profitability (among Indian companies) and 35th in the overall rank. In BS-1000 companies of Business Standard, NMDC was ranked as FIRST in Sector (Mineral) with a Super Rank at 18th.
- In recognition of the performance of NMDC, Indian Institute of Industrial Engineering conferred on the company the prestigious IIE Enterprise Excellence Award in May 2007.
- The most significant recognition of performance and growth plan is the decision of the Government of India to confer the status of Navaratna on your Company. It is expected to be formally conferred very soon.

Your Company has every reason to be a proud of being a successful organization standing tall in the Indian



economy. Success, of course, is a journey, not a destination. Your Company has a long way ahead to garner many more laurels.

Core Competency and Diversification

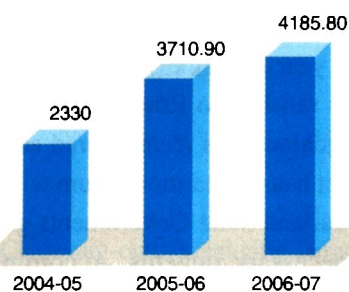
The ever evolving economy demands that your Company should adopt



suitable means to augment its core competency and diversify into value addition. I would like to touch upon the direction your Company is taking.

As against the world production of iron ore of 1500 million tonnes in the financial year ended 31 March 2007, India's contribution was 176 million tonnes (11.76%). Your Company's contribution was

Turnover
Rupees in Crore



27.07 million tonnes, which accounts for 15.73% of India's production and 1.8% of the world production.

The world-wide trade of iron ore was about 768 million tonnes, against which the country's export was 93 million tonnes (12.1%). With the objective of meeting the requirements of domestic customers, your Company's export was only 3.29 million tonnes (12.2% of production) during the year 2006-07.